AIB AXYS AFRICA

www.aib-axysafrica.com



Earnings Note

research@aib-axysafrica.com

Stock Update

Result Update

Company details

Bloomberg Ticker	SCBL:KN
NSE Code:	SCBK
Issued Shares (Mn)	377.85
52-week high price:	KES 172.50
52-week low price:	KES 134.00

As at 22nd November 2023

Price chart – Last 12 Months



AIB-AXYS Research, NSE

Historical Price Performance

	1m	3m	6m	12m
Absolute	**-2.19%**	**-1.58%**	**11.78%**	**12.58%**

AIB-AXYS Research, NSE

Analysts

Ronny Chokaa

rchokaa@aib-axysafrica.com

Stacy Makau

smakau@aib-axysafrica.com

November 23rd 2023

Standard Chartered Bank Kenya Q3'23 Earnings Note

Recommendation:	Current Price:	Target Price:
BUY	KES 156.50	**KES 169.80**

Summary

- **SCBK posted a 11.77% y/y climb in after-tax profits (PAT) to KES 9.74Bn in the nine months to September 2023**. The trailing earnings per share (TEPS) momentum however eased 350bps to KES 34.71 over the quarter. Performance in the quarter was supported by a faster rise in funded income (34.50% y/y) relative to growth in operating expenses (28.41% y/y). The trailing Returns on Equity (ROE) climbed 183bps y/y to 22.65% while the trailing retiurns on assets (ROA) rose 28bps y/y to 3.56%.
- **Holdings of government securities plunged 50.32% to KES 55.63Bn while loan book growth slowed 3.96% y/y to KES 143.6Bn.** This led to a 1500bps y/y decline in asset allocation to government securities to 15.00% - lowest since 2011. From our vantage point, Standard Chartered Bank Kenya is pruning away its low-yielding financial securities book – retaining only higher yielding assets. This has resulted in an effective widening of net interest margins by 525bps – propelled by upward loan repricing and higher reinvestment returns. The bank posted fair value gains in their government holdings KES 12.37Mn – implying a lean yet resilient financial securities book.

Key Highlights

- **Widening Net Interest Margins:** Net Interest Income surged 34.50% y/y to KES 21.23Bn. supported by credit up pricing under the risk-based credit pricing (RBCP) regime and higher effective yields on a leaner government securities book. The growth was fueled by declining interest expenses on account of inexpensive deposit-mobilization. Yields on interest earning assets paced up 515bps y/y to 13.52%. The effective cost of funds eased 11bps y/y to 1.02% despite the rising interest-rate environment – pointing to the unique average customer profile. This resulted to a 525bps widening of the net interest margin to 12.49%.

- **Optimizing Efficiency:** The Cost to Income ratio (excluding loan-impairment provisions) eased 8bps y/y to 47.33% - pointing to a faster climb in operating income relative to operating expenses. Growth in operating income was driven by a faster surge in net interest incomes relative to non-funded income. Non-Funded income posted a 6.56% y/y decline to KES 8.20Bn, despite modest growth in loan fees and commissions as well as foreign exchange trading incomes. This was due to an outsized KES 2.30Bn loss from disposal of bond holdings as the Bank sought to reinvest into higher-yielding customer assets. Broadly, the funded-to-non-funded revenue mix ratio tilted to 72:28.

- **Asset Quality Reshaping for Better:** We noted that SCBK's NPL ratio edged up 62bps y/y to 11.12% - pointing to the protracted impact of macroeconomic pressures on customers' loan servicing ability. Yet, the roll-out of the risk-based credit pricing regime allowed the bank to drive inclusivity and derive higher marginal returns from additional units of risk absorbed. Loan portfolio quality remains resilient despite the 530bps y/y decline in NPL coverage to 77.14% in Q3'23 from 82.44% in Q3'22 . We also noted the 490bps y/y improvement in weighted average yields on government securities to 11.69% - following the move to shed off the lower-yielding government securities.

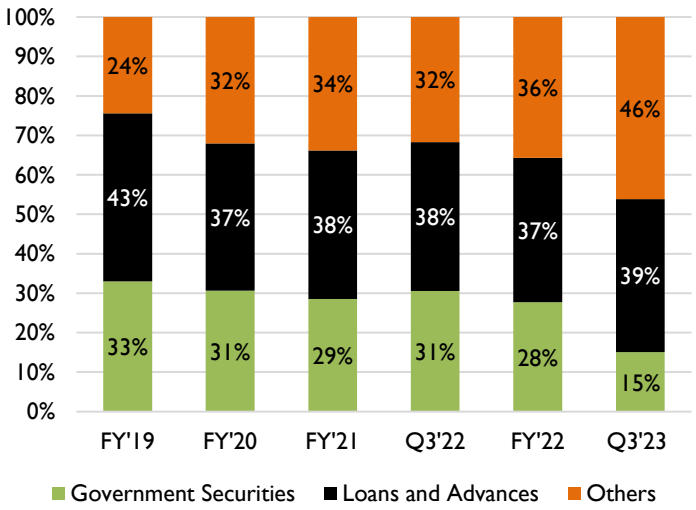
Corporate Action – Standard Chartered Bank Kenya announced an interim dividend payment of KES 6.00 per share to be paid on 28th December 2023 to shareholders on the book register by close of 14th December 2023.

Outlook - We anticipate the lender's growth will be propelled by the fast-growing digital banking, as well as the niche wealth management division catering to the emerging high-net worth clientele. We further anticipate loan portfolio growth – and topline interest revenues - to be driven by differentiated risk pricing under the risk-based credit-pricing regime. Furthermore, we expect the lender's leaner, higher-yielding government securities holdings to result in sustained double-digit net interest margin over the long term. However, we remain concerned about looming asset quality deterioration owing to the varied macroeconomic headwinds.

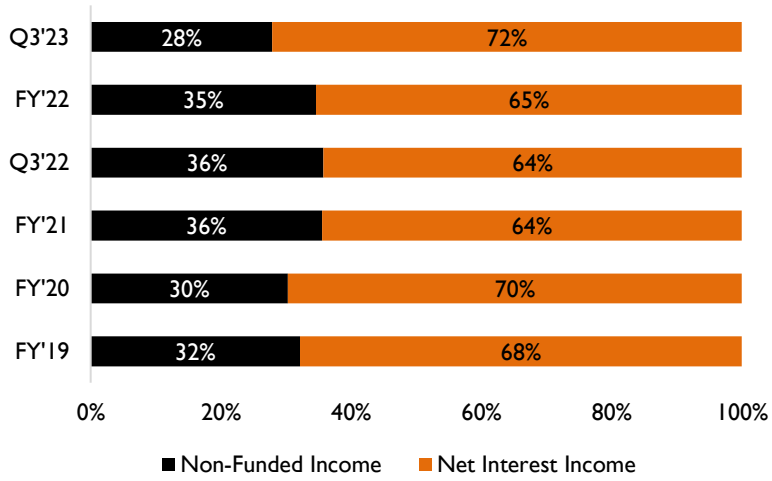
Valuation – The counter is currently trading at a P/B ratio of 0.99x and a P/E ratio of 4.56x. The counter closed yesterday's trading at KES 156.50 - representing a YTD gain of 9.60%. We maintain our **BUY** Recommendation on the counter with a target price of KES 169.80 representing an upside of 6.64% from yesterday's closing price.

Standard Chartered Bank Kenya Q3'23 Earnings Charts

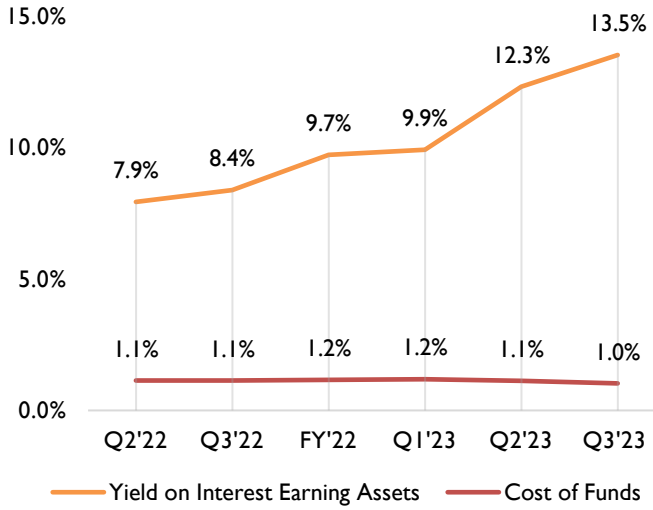
Graph 1: Shrinking Allocation to Government Securities



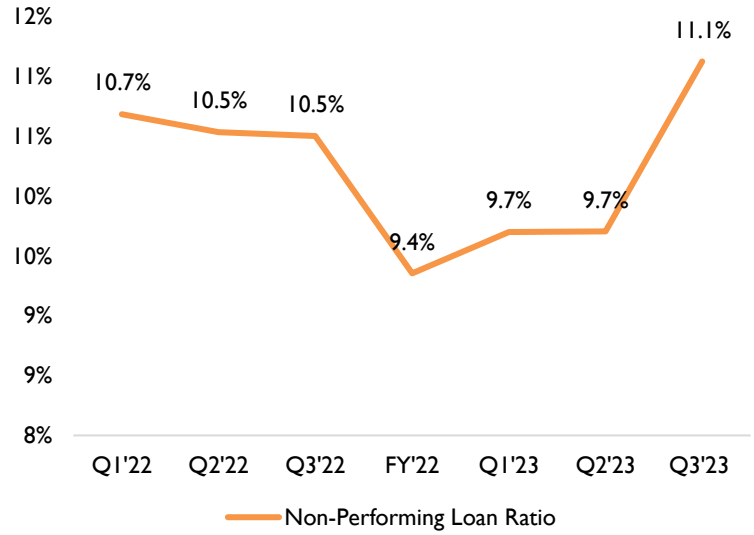
Graph 2: Revenue Mix Tilted in Favor Net Interest Income



Graph 3: Widening Net Interest Margins (JAWS)



Graph 4: Rising Non-Performing Loan Ratio



Source: NSE, Company Fillings, AIB-AXYS Analyst Estimates

Financial Statement Summary

1. Statement of Profit and Loss

Consolidated Results (KES Mn)	FY'19	FY'20	FY'21	Q3'22	FY'22	Q3'23	% y/y change
Net Interest Income	19,472.49	19,117.15	18,809.42	15,784.06	22,223.07	21,230.21	34.50%
Non-Interest Income	9,227.42	8,289.78	10,355.00	8,778.30	11,753.98	8,202.13	-6.56%
Total Operating income	28,699.91	27,406.93	29,164.42	24,562.37	33,977.05	29,432.34	19.83%
Loan-Loss Provisions	(572.59)	(3,882.16)	(2,081.63)	(621.02)	(1,328.46)	(1,821.90)	193.37%
Total Operating expenses	(16,526.06)	(20,010.88)	(16,566.37)	(12,267.73)	(16,873.85)	(15,753.58)	28.41%
Profit before tax	12,173.86	7,396.06	12,598.05	12,294.63	17,103.20	13,678.76	11.26%
Profit after tax	8,236.77	5,440.42	9,043.84	8,712.87	12,057.94	9,738.24	11.77%
Annualized EPS	21.85	14.43	23.99	30.82	31.99	34.44	11.77%

2. Statement of Financial Position

Balance Sheet (KES Mn)	FY'19	FY'20	FY'21	Q3'22	FY'22	Q3'23	% y/y change
Government Securities	99,628.93	99,779.22	95,595.61	111,988.51	105,696.88	55,631.96	-50.32%
Loans and Advances	128,690.34	121,524.23	125,974.59	138,071.60	139,412.56	143,570.81	3.98%
Total Assets	**302,139.06**	**325,605.07**	**334,871.94**	**366,116.42**	**381,260.02**	**369,716.59**	0.98%
Customer Deposits	228,433.52	256,497.53	265,469.11	286,074.22	278,879.31	298,833.99	4.46%
Total Liabilities	254,378.53	274,715.03	281,657.83	310,645.00	325,123.29	310,002.11	-0.21%
Shareholder's Funds	**47,760.53**	**50,890.04**	**53,214.11**	**55,471.43**	**56,136.73**	**59,714.48**	7.65%

3. Key Metrics

	Q1'22	Q2'22	Q3'22	FY'22	Q1'23	Q2'23	Q3'23
Growth Metrices (y/y)							
Loan book Growth	8.67%	-1.35%	4.80%	10.67%	7.04%	13.17%	3.98%
Customer Deposits Growth	0.05%	3.14%	10.72%	5.05%	14.15%	-1.13%	4.46%
PAT Growth	15.63%	10.89%	37.11%	33.33%	45.65%	27.71%	11.77%
Spreads Analysis							
Yield on Assets	7.42%	7.93%	8.37%	9.72%	9.91%	12.30%	13.52%
Cost of Funds	1.21%	1.13%	1.13%	1.16%	1.18%	1.12%	1.02%
Net Interest Margin	6.20%	6.80%	7.24%	8.56%	8.73%	11.18%	12.49%
ROaE	17.67%	17.73%	20.82%	21.78%	23.45%	23.74%	22.65%
ROaA	2.77%	2.70%	3.27%	3.37%	3.65%	3.73%	3.56%
Profit Margin	37.32%	34.78%	35.47%	35.49%	37.42%	33.09%	33.09%
Operating Effiency							
Cost of Income Less LLP	58.85%	49.67%	47.42%	45.75%	47.42%	45.75%	47.33%
Cost of Assets	1.05%	2.22%	3.34%	4.34%	1.19%	2.53%	3.79%
Loan to Deposit	47.38%	47.45%	48.26%	49.99%	48.26%	49.99%	48.04%
Asset Quality							
NPL	10.68%	10.53%	10.50%	9.35%	9.70%	9.70%	11.12%
NPL Coverage	81.83%	83.88%	82.44%	87.12%	86.78%	84.82%	77.14%
Cost of Risk	-1.16%	0.70%	2.53%	3.91%	7.35%	9.75%	6.19%
Capital Adequency							
Core Capital/TRWA	15.35%	15.43%	15.42%	15.42%	15.42%	16.87%	17.06%
Total Capital /TRWA	17.62%	17.73%	17.66%	17.66%	17.66%	17.26%	17.82%
Liquidity	71.56%	73.61%	71.86%	73.03%	73.75%	62.84%	66.70%

Source: Company Fillings, AIB-AXYS Estimates



Research Desk

Ronny Chokaa
Senior Research Analyst

Stacy Makau
Research Analyst

Email: research@aibaxysafrica.com

Equities Dealing

Nina Goswami

Bernard Kung'u

Bernard Gichuru

Brian Tanui

Samuel Githinji

Sheema Shah

Samuel Wachira

Benson Ngugi

Email: trading@aib-axysafrica.com

Research Desk

Crispus Otieno

Titus Marenye

Aundrina Musyoka

Kenneth Minjire

Disclaimer
AIB-AXYS Africa and its parent company AXYS Group seek to do business with companies covered in their research reports. Consequently, a conflict of interest may arise that could affect the objectivity of this report. This document should only be considered a single factor used by investors in making their investment decisions. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. The opinions and information portrayed in this report may change without prior notice to investors.

This publication is intended solely for informational purposes and is not authorized for public distribution or use by the public media without prior and express written consent of AIB-AXYS Africa or AXYS Group. Redistribution or dissemination of this material, in whole or in part, is strictly prohibited and may lead to legal actions. By accessing this report, you acknowledge and agree to abide by these terms, ensuring the security and confidentiality of its contents.

This document does not constitute an offer, or the solicitation of an offer, for the sale or purchase of any security. Whilst every care has been taken in preparing this document, no representation, warranty or undertaking (express or implied) is given and no responsibility or liability is accepted by AIB-AXYS Africa or any of its employees as to the accuracy of the information contained and opinions expressed in this report.